

CANADA

2012

1.	Overview of the tax-benefit system	2
2.	Unemployment insurance.....	3
3.	Unemployment assistance.....	10
4.	Social assistance.....	11
5.	Housing benefits for rented accommodation	14
6.	Family benefits.....	15
7.	Childcare for pre-school children.....	18
8.	Employment-conditional benefits	22
9.	Lone-parent benefits	24
10.	Tax system	26
11.	Part-time work.....	31
12.	Policy developments	32

Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series Benefits and Wages. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

1. Overview of the tax-benefit system

The system of benefits and incentives in Canada comprises a number of programs, including benefit programs and tax assistance. Some are the responsibility of the federal (national) government, while others are administered by provincial and territorial governments. These programs include unemployment benefits, social assistance (or welfare), and a number of federal and provincial benefits and credits delivered through the personal income tax system (related to children, shelter, supplements for working income, etc). Due to the breadth and variety of programs at the provincial and territorial level, the Province of Ontario has been chosen where examples of provincial/territorial programs are required (Ontario has also been used as an example in previous editions of this report).

With respect to benefits, Employment Insurance (as it is called in Canada) provides temporary income support to Canadians workers while they are temporarily unemployed and looking for work or upgrading their skills, while they are pregnant or caring for a newborn or adopted child, while they are sick, or for workers who need to take a short-term absence from work in order to provide care or support to a gravely ill family member facing a significant risk of death within six months. Benefits are earnings-related and are subject to a maximum amount (see section 2). Social assistance provides financial assistance to cover the cost of basic living requirements, and in-kind goods and services, for an individual or family when all other financial resources have been exhausted (see section 4 for more information). The Canada Child Tax Benefit, which includes the National Child Benefit Supplement, is a federal income-tested benefit for families with children (see section 6). Provinces and territories also provide a range of benefits and services for families with children. Both the federal government and the provinces and territories are involved in the provision of child care assistance through direct benefits, the personal income tax system and subsidies.

With respect to taxation, the federal personal income tax system in Canada is progressive, meaning that tax rates rise as taxable income rises. It also includes many deductions, exemptions, and tax credits (both refundable, i.e., non-wastable, and non-refundable i.e., wastable) which serve to reduce taxes payable. Provinces and territories also set their own tax on personal income. See section 10 for further details.

1.1. Average Worker wage (AW)

The 2012 AW earnings level is CAD46 857¹

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information, see *Taxing Wages 2010-2011*, OECD, 2012, part 5, sections 2 and 3.

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

2. Unemployment insurance

2.1 Conditions for receipt

All persons in paid employment and self-employed fishers, contribute to the Employment Insurance program by paying premiums and are potentially eligible to receive benefits.

As of January 2011, self-employed Canadians (other than fishers) are able to opt in to the EI program for special benefits (maternity, parental, sickness and compassionate care).

2.1.1 Employment conditions

As shown in the table below, entrance requirements vary with the local monthly unemployment rate. A minimum of 420 hours of work in the preceding 52-week period (qualifying period) is required in areas of high unemployment (over 13 per cent) and 700 hours in areas of low unemployment (6 per cent or lower).

EI Entrance Requirements

Regional rate of unemployment (%)	Required number of insured hours of employment
6 and under	700
Over 6 to 7	665
Over 7 to 8	630
Over 8 to 9	595
Over 9 to 10	560
Over 10 to 11	525
Over 11 to 12	490
Over 12 to 13	455
Over 13	420

New entrants or re-entrants to the labour market must have worked a minimum of 910 hours in the 52 weeks preceding the job loss.

New entrants and re-entrants to the labour market are those with less than 490 hours of labour force attachment in the 52 week period prior to the qualifying period (pre-qualifying period). Labour force attachment takes account of various forms of attachment to the labour force, such as insured hours of work, time spent on EI, worker's compensation benefits, disability benefits and sick leave benefits. Each week of labour force attachment counts for 35 hours, with the exception of insured hours of work which are considered at face value. Claimants with at least one week of maternity or parental benefits in the four-year window preceding the pre-qualifying period are not considered new entrant or re-entrants to the labour market.

A flat entrance requirement of 600 hours of insurable employment in the 52-week period preceding the claim applies for all special benefits, which include maternity, parental, sickness and compassionate care benefits. This requirement does not vary according to local unemployment rates. Finally, qualification for EI fishing benefits is based on earnings, as opposed to weeks or hours of work.

To be eligible to receive special benefits, self-employed Canadians have to register with the Canada Employment Insurance Commission and contribute to the EI program for a period of at least 12 months. In order to qualify for special benefits, they must demonstrate that they have reduced the amount of time

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

devoted to their business by more than 40% and have earned a minimum amount of self-employment earnings in the preceding calendar year (\$6,000 in 2010).

2.1.2 Contribution conditions

EI is financed by employer and employee premiums. Contributions to the program begin with the first CAD \$1 earned up to a maximum insurable earnings level for 2012 of CAD 45 900 per year. The employee premium rate for 2012 is CAD 1.83 per CAD 100 of insurable earnings. Employers pay 1.4 times the employee rate (2.56 per CAD 100). Employees earning less than CAD 2 000 a year can receive a premium rebate. In the province of Quebec, EI premiums are lower since the province has established its own insurance plan that replaces EI maternity and parental benefits. For 2012, the employee premium rate is CAD 1.47 per CAD 100 of insurable earnings while the employers pay \$2.06 per CAD 100.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

The replacement rate is 55 per cent of average weekly earnings. A claimant's average weekly earnings are calculated by taking the total earnings within the 26-week period preceding the job separation and dividing this amount by the number of weeks worked or the minimum divisor, whichever is higher. The minimum divisor ranges between 14 and 22 weeks depending on the regional unemployment rate. The maximum weekly benefit rate is CAD 485 per week based on the maximum weekly insurable earnings of CAD 882 for 2012.

In addition, claimants living in participating economic regions (25) can benefit from a pilot project which changes the method of calculating EI weekly benefit rates by using the highest or best 14 weeks of insurable earnings. This measure was extended on June 26, 2011 until June 23, 2012 and has been further extended until April 6, 2013.

EI claimants from low-income families with children are eligible for the Family Supplement. In this context, low-income is defined as net family income under CAD 25 921. Recipients can receive up to an 80 per cent replacement rate depending on their net family income and the number and age(s) of the children (see table below). Claimants with family income below CAD 20 921 receive the full supplement available to them based on the number and age(s) of their children.

Note that the Family Supplement is an add-on to the basic weekly benefit rate. The normal replacement rate is 55 per cent of the average weekly earnings in the six months preceding the job separation. Although Family Supplement recipients can receive up to an 80 per cent replacement rate overall, the maximum weekly EI benefit rate, including the Family Supplement, is subject to the maximum of CAD 485 for 2012.

Family Supplement - rate increase

(in CAD)

Family income range	Number of children			Top-up for each additional child	Age supplement for each child under 7
	1	2	3		
Below 20 921	31.30	58.70	86.10	27.45	4.15
20 921 - 21 250	31.25	58.60	86.00	27.40	4.10
21 251 - 21 500	28.50	53.60	78.80	25.60	3.85
21 501 - 21 750	26.45	49.90	73.45	24.25	3.65
21 751 - 22 000	24.45	46.25	68.20	22.85	3.45
22 001 - 22 250	22.55	42.70	63.15	21.50	3.25
22 251 - 22 500	20.70	39.30	58.15	20.15	3.05
22 501 - 22 750	18.90	35.95	53.30	18.75	2.80
22 751 - 23 000	17.15	32.70	48.60	17.40	2.60
23 001 - 23 250	15.45	29.55	44.00	16.00	2.40
23 251 - 23 500	13.80	26.50	39.55	14.65	2.20
23 501 - 23 750	12.25	23.55	35.25	13.30	2.00
23 751 - 24 000	10.70	20.70	31.05	11.90	1.80
24 001 - 24 250	9.25	17.95	26.95	10.55	1.60
24 251 - 24 500	7.85	15.30	23.05	9.15	1.40
24 501 - 24 750	6.55	12.75	19.20	7.80	1.20
24 751 - 25 000	5.25	10.25	15.55	6.45	1.00
25 001 - 25 250	4.00	7.90	12.00	5.05	0.75
25 251 - 25 500	2.85	5.65	8.55	3.70	0.55
25 501 - 25 750	1.75	3.45	5.25	2.30	0.35
25 751 - 25 921	0.70	1.40	2.10	0.95	0.15

2.2.2 Income and earnings disregards for benefit recipients and those starting a new job

Claimants receiving regular, parental, or compassionate care benefits can earn (allowable earnings) up to 25 per cent of their weekly benefits or CAD 50, whichever is higher without their EI benefits being reduced. Earnings above 25 per cent or CAD 50 are deducted dollar for dollar from weekly benefits. If benefits are reduced to zero for a week, that week of entitlement is kept by the claimant for use in the benefit period.

A pilot project in effect from December 7, 2008, until August 4, 2012 increases the allowable earning to the greater of CAD 75 per week or 40% of the weekly benefit. Earnings exceeding CAD 75 per week or 40% of the weekly benefit are deducted dollar for dollar from weekly benefits.

2.3 Tax treatment of benefit and interaction with other benefits

Recipients of EI benefits pay income taxes, but they are not subject to SS contributions. EI Beneficiaries whose net income exceeded CAD 57 375 have to repay the lesser of 30% of the total regular or fishing benefits received in that taxation year or 30% of the income above that threshold. This provision does not apply to those who have not received EI regular or fishing benefits in the ten years prior to the taxation year in question. First time claimants, as well as claimants of maternity, parental, sickness or compassionate care benefits, are exempt from this repayment provision.

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

2.4 *Benefit duration and waiting periods*

Regular benefits are payable for a maximum period of 45 weeks, starting after an unpaid two-week waiting period. The number of weeks of benefits to which a claimant is entitled is a function of the number of hours worked in the qualifying period and the local unemployment rate. Entitlement varies from 14 to 45 weeks.

As shown in the table below, in general, a one-percentage point increase in the local monthly unemployment rate provides an additional entitlement of two weeks. An additional 70 hours of work adds one week of entitlement for a claimant with short employment duration (less than 1 400 hours) in the qualifying period and two weeks of entitlement to claimants with long employment duration (over 1 400 hours). Weeks of Entitlement to Regular Benefits

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Insured Hours of Work	Regional Unemployment Rate (%)											
	6% and under	Over 6% to 7%	Over 7% to 8%	Over 8% to 9%	Over 9% to 10%	Over 10% to 11%	Over 11% to 12%	Over 12% to 13%	Over 13% to 14%	Over 14% to 15%	Over 15% to 16%	Over 16%
420-454	0	0	0	0	0	0	0	0	26	28	30	32
455-489	0	0	0	0	0	0	0	24	26	28	30	32
490-524	0	0	0	0	0	0	23	25	27	29	31	33
525-559	0	0	0	0	0	21	23	25	27	29	31	33
560-594	0	0	0	0	20	22	24	26	28	30	32	34
595-629	0	0	0	18	20	22	24	26	28	30	32	34
630-664	0	0	17	19	21	23	25	27	29	31	33	35
665-669	0	15	17	19	21	23	25	27	29	31	33	35
700-734	14	16	18	20	22	24	26	28	30	32	34	36
735-769	14	16	18	20	22	24	26	28	30	32	34	36
770-804	15	17	19	21	23	25	27	29	31	33	35	37
805-839	15	17	19	21	23	25	27	29	31	33	35	37
840-874	16	18	20	22	24	26	28	30	32	34	36	38
875-909	16	18	20	22	24	26	28	30	32	34	36	38
910-944	17	19	21	23	25	27	29	31	33	35	37	39
945-979	17	19	21	23	25	27	29	31	33	35	37	39
980-1014	18	20	22	24	26	28	30	32	34	36	38	40
1015-1049	18	20	22	24	26	28	30	32	34	36	38	40
1050-1084	19	21	23	25	27	29	31	33	35	37	39	41
1085-1119	19	21	23	25	27	29	31	33	35	37	39	41
1120-1154	20	22	24	26	28	30	32	34	36	38	40	42
1155-1189	20	22	24	26	28	30	32	34	36	38	40	42
1190-1224	21	23	25	27	29	31	33	35	37	39	41	43
1225-1259	21	23	25	27	29	31	33	35	37	39	41	43
1260-1294	22	24	26	28	30	32	34	36	38	40	42	44
1295-1329	22	24	26	28	30	32	34	36	38	40	42	44
1330-1364	23	25	27	29	31	33	35	37	39	41	43	45
1365-1399	23	25	27	29	31	33	35	37	39	41	43	45
1400-1434	24	26	28	30	32	34	36	38	40	42	44	45
1435-1469	25	27	29	31	33	35	37	39	41	43	45	45
1470-1504	26	28	30	32	34	36	38	40	42	44	45	45
1505-1539	27	29	31	33	35	37	39	41	43	45	45	45
1540-1574	28	30	32	34	36	38	40	42	44	45	45	45
1575-1609	29	31	33	35	37	39	41	43	45	45	45	45
1610-1644	30	32	34	36	38	40	42	44	45	45	45	45
1645-1679	31	33	35	37	39	41	43	45	45	45	45	45
1680-1714	32	34	36	38	40	42	44	45	45	45	45	45
1715-1749	33	35	37	39	41	43	45	45	45	45	45	45
1750-1784	34	36	38	40	42	44	45	45	45	45	45	45
1785-1819	35	37	39	41	43	45	45	45	45	45	45	45
1820 and over	36	38	40	42	44	45	45	45	45	45	45	45

Special benefits (maternity, parental, sickness or compassionate care) are payable for varying durations. Maternity and sickness benefits are payable for up to 15 weeks each, parental benefits can be paid for up to 35 weeks, while compassionate care benefits can be paid for up to 6 weeks.

Under the EI program, self-employed fishing is separated into two distinct qualifying periods: summer and winter fishing. Fishers who are active in both seasons can establish two claims for EI fishing benefits in a

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

single year. All fishers who qualify for the program are entitled to up to 26 weeks of benefits per benefits period.

The Extended Employment Insurance (EI) Benefits pilot project increased EI income support by providing an additional five weeks of benefits, to a maximum of 45 weeks, in 21 economic regions. This pilot project concluded as scheduled on September 15, 2012.

Hours of work	Regional unemployment rate											
	6% and under	Over 6% to 7%	Over 7% to 8%	Over 8% to 9%	Over 9% to 10%	Over 10% to 11%	Over 11% to 12%	Over 12% to 13%	Over 13% to 14%	Over 14% to 15%	Over 15% to 16%	Over 16%
420-454	0	0	0	0	0	0	0	0	31	33	35	37
455-489	0	0	0	0	0	0	0	29	31	33	35	37
490-524	0	0	0	0	0	0	28	30	32	34	36	38
525-559	0	0	0	0	0	26	28	30	32	34	36	38
560-594	0	0	0	0	25	27	29	31	33	35	37	39
595-629	0	0	0	23	25	27	29	31	33	35	37	39
630-664	0	0	22	24	26	28	30	32	34	36	38	40
665-699	0	20	22	24	26	28	30	32	34	36	38	40
700-734	19	21	23	25	27	29	31	33	35	37	39	41
735-769	19	21	23	25	27	29	31	33	35	37	39	41
770-804	20	22	24	26	28	30	32	34	36	38	40	42
805-839	20	22	24	26	28	30	32	34	36	38	40	42
840-874	21	23	25	27	29	31	33	35	37	39	41	43
875-909	21	23	25	27	29	31	33	35	37	39	41	43
910-944	22	24	26	28	30	32	34	36	38	40	42	44
945-979	22	24	26	28	30	32	34	36	38	40	42	44
980-1014	23	25	27	29	31	33	35	37	39	41	43	45
1015-1049	23	25	27	29	31	33	35	37	39	41	43	45
1050-1084	24	26	28	30	32	34	36	38	40	42	44	45
1085-1119	24	26	28	30	32	34	36	38	40	42	44	45
1120-1154	25	27	29	31	33	35	37	39	41	43	45	45
1155-1189	25	27	29	31	33	35	37	39	41	43	45	45
1190-1224	26	28	30	32	34	36	38	40	42	44	45	45
1225-1259	26	28	30	32	34	36	38	40	42	44	45	45
1260-1294	27	29	31	33	35	37	39	41	43	45	45	45
1295-1329	27	29	31	33	35	37	39	41	43	45	45	45
1330-1364	28	30	32	34	36	38	40	42	44	45	45	45
1365-1399	28	30	32	34	36	38	40	42	44	45	45	45
1400-1434	29	31	33	35	37	39	41	43	45	45	45	45
1435-1469	30	32	34	36	38	40	42	44	45	45	45	45
1470-1504	31	33	35	37	39	41	43	45	45	45	45	45
1505-1539	32	34	36	38	40	42	44	45	45	45	45	45
1540-1574	33	35	37	39	41	43	45	45	45	45	45	45
1575-1609	34	36	38	40	42	44	45	45	45	45	45	45
1610-1644	35	37	39	41	43	45	45	45	45	45	45	45
1645-1679	36	38	40	42	44	45	45	45	45	45	45	45

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

1680-1714	37	39	41	43	45	45	45	45	45	45	45	45
1715-1749	38	40	42	44	45	45	45	45	45	45	45	45
1750-1784	39	41	43	45	45	45	45	45	45	45	45	45
1785-1819	40	42	44	45	45	45	45	45	45	45	45	45
1820 and over	41	43	45	45	45	45	45	45	45	45	45	45

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

None

2.5.2 *Older workers*

None

2.5.3 *Others if applicable*

None

3. Unemployment assistance

Employment Insurance provides a number of Employment Benefits and Support Measures (EBSMs), under Part II of the EI Act, which help unemployed workers get back to work as quickly as possible. These include:

- Long-term employment benefits available only to unemployed EI clients such as Skills Development benefits, Self-employment Assistance, Targeted Wage Subsidies and Job Creation Partnerships.
- Short-term interventions such as Employment Assistance Services which includes counselling and group services that are available to all unemployed Canadians.

3.1 Conditions for receipt

3.1.1 Employment conditions

3.1.2 Contribution conditions

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

3.2.1.1 Irregular additional payments

3.2.1.2 Obligations of family members

3.2.2 Income and earnings disregards for benefit recipients and those starting a new job

3.3 Tax treatment of benefit and interaction with other benefits

3.4 Benefit duration and waiting periods

3.5 Treatment of particular groups

3.5.1 Young persons

3.5.2 Older workers

3.5.3 Others if applicable

4. Social assistance

Social assistance (or welfare) is administered by the provinces and territories, which set their own rules and payment rates. The Province of Ontario's system for providing social assistance is used in this report. The announcement of the new Ontario Child Benefit in the 2007 Ontario Budget led to a restructuring of social assistance rates in August 2008 (see Section 6).

The Canadian welfare system has undergone some fundamental changes over the last decade. In almost every province and territory, more stringent eligibility criteria and administrative controls have become the norm, and benefit reductions affecting part or all of the caseload have been common. There has also been a growing focus on employment and training activities for social assistance recipients in an effort to improve their skills and employment potential. Several provinces and territories offer ancillary supports, such as child care, community start-up, and transportation allowances, in combination with employment assistance, in order to facilitate social assistance recipients' participation in the labour market.

Further, with the introduction of the Federal/Provincial/Territorial National Child Benefit initiative in 1998, increased federal support for low-income families with children has enabled most provinces and territories to use these increased payments to replace part of their social assistance or child benefit payments to families with children, and reinvest the resulting savings in new or enhanced benefits and services for low-income families with children. In many cases, provinces and territories have invested additional funds beyond their social assistance and child benefit savings.

In an effort to further lessen the financial impact of the transition from social assistance to employment, several provinces and territories have extended coverage provided by drug cards and supplementary health benefits for a specified period of time after exiting social assistance. Some jurisdictions have also introduced earned income supplements. The purpose of these supplements is to increase the financial benefit associated with employment for persons with low wages. Similarly, recent reforms to asset and earnings exemption levels in some jurisdictions have allowed social assistance recipients to accumulate certain types of assets that have been linked to reduced intergenerational dependence on social assistance.

4.1 Conditions for receipt

Social assistance is a "needs-tested" benefit. If the assets of an applicant's household are within allowable limits, non-exempted income is applied to the cost of basic needs. If there is a budgetary deficit, the household qualifies for social assistance. Where there is a budgetary surplus that is insufficient to cover the cost of a special need that is approved by welfare authorities, social assistance may be granted to cover the special need only. Each jurisdiction defines assets, income and needs in its social assistance legislation.

Eligible employable persons are actively encouraged to pursue, accept, and retain any reasonable offer of employment or retraining as an initial and continuing condition of eligibility for social assistance. Thus, many jurisdictions offer employment services and training opportunities in combination with financial assistance. Should a recipient choose not to pursue employment or retraining, he/she may be subject to penalties ranging from a specified reduction in benefits over a prescribed period of time to the full cancellation of benefits.

To ensure that those who successfully leave social assistance for employment are better off working, a number of provinces and territories have introduced earned income or working income supplements.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The total payment amount consists of a basic personal allowance, a shelter allowance to assist in the payment of (total actual) housing costs and, in some jurisdictions, allowances for regularly-recurring approved special needs (e.g., diabetic food allowance). Shelter allowances are set by provincial governments to reflect actual costs within their jurisdictions. However, in New Brunswick and Quebec, social assistance benefits are paid as a “global” benefit, and clients are responsible for apportioning the allowance to shelter and other needs as they see fit. In Ontario, there are two major social assistance programs: Ontario Works, which provides income and employment assistance for people who are in temporary financial need; and the Ontario Disability Support program, designed to meet the unique needs of people with disabilities who are in financial need, or who want and are able to work and need support. This section is based on the Ontario Works program.

Monthly Ontario Works rates, in CAD*

Effective December 2011
(basic allowance + maximum shelter allowance)

Family structure	Single	Couple
No children	599 (227+372)	1032 (448+584)
One child aged 0 - 17	931 (347+584)	1082 (448+634)
Two children aged 0 - 17	981 (347+634)	1136 (448+688)

* Social Assistance was restructured beginning in August 2008 due to the phase-in (year 2) of the Ontario Child Benefit (OCB). OCB consolidated social assistance benefits for children and the OCCS into one benefit paid to all low-income families with children.

The maximum basic needs allowance rates are based on the presence of a spouse, the number of members in the household and the number of children in the household.

4.2.1.1 Irregular additional payments

Generally, Special Needs Assistance provides items, services, or allowances related to age, disability, employment, education, training, and other special circumstances. It varies widely between jurisdictions but examples include transportation allowances, employment-related allowances, child-care subsidies, drug and medical services, as well as furniture replacement, minor home repair allowances, special diet allowances, school supply allowances, and funeral services. The provision of items of special need is on a case-by-case basis in accordance with the applicable policies and guidelines.

4.2.1.2 Obligations of family members

As a condition of continuing eligibility for assistance, beneficiaries must report immediately any change in the circumstances of their household that would affect their entitlement to assistance. In addition, some jurisdictions require that long-term social assistance clients be reviewed every year, and more frequently for short-term clients.

4.2.2 *Earnings exemptions for benefit recipients and those starting a new job*

Effective August 1, 2005, a flat exemption rate of 50% has been applied to earnings of social assistance recipients in Ontario. This earnings disregard does not take effect until a client household has been in receipt of social assistance for three full months.

4.3 Tax treatment of benefit and interaction with other benefits

Social assistance benefits are not taxable, but must be declared on a tax filer's income tax return. Benefits are counted as income in calculating entitlement to federal and provincial child tax benefits and sales tax credits (see sections 6 and 10).

4.4 Benefit duration and waiting periods

Benefits are paid as long as there is a need, i.e., as long as household assets are within allowable limits and non-exempt income is insufficient to cover basic needs or approved special needs, and provided that all other administrative requirements are met (e.g., job search for employable clients). There are no time limits on benefit duration in Ontario. (However, the Province of British Columbia has established a limit on the length of time a client may receive benefits. Employable clients are limited to a cumulative 24 months of social assistance out of every 60 months. The time limit may be waived if the client falls within one of twenty-five exemption categories established by the Ministry of Employment and Income Assistance. Sanctions for exceeding the time limit vary from reductions in monthly benefits for families with children to ineligibility for benefits for singles and childless couples.)

4.5 Treatment of particular group

4.5.1 *Young persons*

As a general rule, anyone who has not reached the age of majority may not receive social assistance in his or her own right except in cases of family breakdown, abuse or parenthood. Young persons receiving assistance in these circumstances are required, as a condition of ongoing eligibility, to participate fully in any academic or training program that could improve their employability.

4.5.2 *Older workers*

4.5.3 *Others if applicable*

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

5. Housing benefits for rented accommodation

See section 4.2.1

5.1 *Conditions for receipt*

5.2 *Calculation of benefit amount*

5.2.1 *Calculation of gross benefit*

5.2.2 *Income and earnings disregards*

5.2.3 *Costs eligible for housing benefits*

5.3 *Tax treatment of benefit and interaction with other benefits*

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable*

6. Family benefits

Federal level

At the federal level, child-related family benefits are paid through the monthly Canada Child Tax Benefit (CCTB). In addition to the base benefit of the CCTB, which is targeted to both low- and middle-income families, the National Child Benefit² Supplement provides additional income support to low-income families with children. The NCB Supplement is one element of the broader NCB initiative, which is a partnership among federal, provincial, and territorial governments, with a First Nations component.

Total annual federal support delivered through the CCTB system reached CAD 10.3 billion in 2011-2012, including approximately CAD 3.8 billion through the NCB Supplement.

Provincial/territorial level

The NCB initiative is intended to help facilitate the transition from welfare to work by ensuring that families leaving social assistance are financially better off as a result of working. The initiative is designed so that provinces and territories have the flexibility to adjust social assistance or child benefit payments by an amount equivalent to the NCB Supplement, and re-invest these funds into new or enhanced programs benefiting low-income families with children. Provincial/territorial NCB reinvestments and investments are made in a number of areas, including: childcare, earnings supplements and child benefits, early childhood services, and supplementary health benefits. Ontario has reinvested and invested in the Ontario Child Care Supplement for Working Families (see section 7) as well as in early childhood and children at risk services and municipal reinvestment strategies.

As the NCB initiative has matured, the majority of provinces and territories no longer recover federal increases to the NCB Supplement. This means that the vast majority of children living in low-income families, including those on social assistance, are currently receiving some or all of the NCB Supplement. In Ontario, NCB Supplement ceased to be recovered from social assistance payments as of August 2008.

In its 2007 Budget, the Government of Ontario announced the creation of the Ontario Child Benefit (OCB) for low-income families. In July 2007, the program delivered a non-taxable, one-time payment for 2007 of up to CAD 250 per dependent child under age 18. Monthly payments began to flow in July 2008- up to CAD 600 per year per child. The 2009 Ontario budget proposed to accelerate the phase-in of the OCB by two years. The payment increased to a maximum of CAD 1 100 a year per child in 2009. The benefit reduction threshold is the adjusted family net income of CAD 20 000 with an 8 percent reduction rate.

Conditions for receipt

A person may qualify for the Ontario Child Benefit (OCB), if they:

- are the primary caregiver of a child under 18;
- are a resident of Ontario;
- have filed and had assessed a previous year's income tax return, and so have their spouse or common-law partner; and

²

The National Child Benefit (NCB) is a joint initiative of Canada's federal, provincial and territorial governments, which includes a First Nations component. The National Child Benefit aims to prevent and reduce the depth of child poverty in Canada, promote labour market attachment by ensuring that families will always be better off as a result of working, and reduce overlap and duplication by harmonizing program objectives and benefits across jurisdictions. The NCB Supplement (to the CCTB) is the federal government's contribution to the NCB initiative.

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

- registered their child for the federal Canada Child Tax Benefit.

The Canada Revenue Agency will automatically review eligibility the applicant's spouse/common law partner's income tax returns from the previous year are assessed and they have registered their child for the Canada Child Tax Benefit.

If eligible, the Ontario Child Benefit is included with Canada Child Tax Benefit and National Child Benefit Supplement monthly payments.

Calculation of benefit amount

In 2012, the OCB program provided a maximum annual benefit of CAD 1 100 for each child under age 18.

Ontario Child Benefit (OCB)

	2012 (annual basis)
Maximum per child <18	CAD 1 100
Level of adjusted family net income ³ for tax purposes where benefit starts to be reduced	CAD 20 000
Reduction rate	8%

Calculation of gross benefit

See table above.

Income and earnings disregards

See table above.

First Nations

Through the NCB, the federal government works in partnership with First Nations to achieve the shared goal of improving the quality of life for Aboriginal peoples. First Nations' NCB reinvestments provide First Nations with the opportunity to develop projects that will address child poverty and ensure Aboriginal children receive the best possible opportunities to develop their potential as healthy, active and contributing members of their communities. First Nations' reinvestments tend to cover a wider range of program areas than those of the provinces and territories, allowing communities to decide which priority they would like to see addressed during the course of a given year. First Nations reinvestments are categorized in five key areas: child/day care; child nutrition; early child development; employment opportunities/training programs; and community enrichment.

³ For the purposes of determining how much will be received for the Ontario Child Benefit, adjusted family net income is defined as:

The net income amount on line 236 of the Canada Revenue Agency personal income tax form for both the applicant and spouse/common-law partner if applicable minus any federal Universal Child Care Benefit payments.

6.1 *Conditions for receipt*

All low- and middle-income families with children under the age of 18 are eligible for the base benefit of the CCTB, as well as an additional amount to low-income families with children through the NCB Supplement.

6.2 *Calculation of benefit amount*

See Section 6.2.1 for details on specific program parameters that determine eligibility and level of benefits.

6.2.1 *Calculation of gross benefit*

Federal level

The combined net income reported by both spouses (that is, family net income) is used to calculate benefit entitlements. Any benefit entitlements calculated using 2012 incomes are generally actually paid over the period July 2013 to June 2014 (although they appear in the modelling for 2012 for methodological reasons).

The Canada Child Tax Benefit provides a standard base benefit of CAD 1 433 per child under 18 plus a CAD 100 supplement for the 3rd and each additional child. The base benefit is reduced by 4 per cent of family net income in excess of CAD 43 561 for families with two or more children and 2 per cent for families with one child. In addition, a National Child Benefit (NCB) Supplement is provided to low-income families with children. The maximum NCB Supplement is CAD 2 221 for one child, plus CAD 1 964 for a second child, plus CAD 1 869 for the third and each additional child. The NCB Supplement begins to be phased out based on family net income in excess of CAD 25 356. The reduction rates are 12.2 per cent for families with one child, 23.0 per cent for families with two children and 33.3 per cent for larger families.

6.2.1.1 *Irregular additional payments*

6.2.2 *Income and earnings disregards*

6.3 *Tax treatment of benefit and interaction with other benefits*

Canada Child Tax Benefit payments are not taxable. (For program interactions, see above.)

6.4 *Treatment of particular groups*

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable*

7. Childcare for pre-school children

In 2004-2005, 51.3 per cent of children aged six months to five years were in some form of non-parental child care, broken down by age and setting as follows⁴:

Proportion of children by age in non-parental child care

Age of Child	2004-2005
6 months to under 1 year	20.5%
1 year	53.9%
2 years	57.0%
3 years	59.4%
4 years	51.7%
5 years	52.9%

Distribution of children by type of main non-parental child care arrangement

Type of Setting	2004-2005
Cared for in someone else's home	45.2%
Cared for in child's home	18.5%
Cared for in child care centre	30.5%
Other	5.8%

In 2007, there were regulated child care spaces for about 19.7 per cent of children aged 0-6 (this includes child care centres, preschools and licensed family care). While compulsory schooling begins at age six, the majority of five-year-old children attend kindergarten as part of the formal education system.

7.1 Out-of-pocket childcare fees paid by parents

Parent fees for regulated care vary within and across provinces and depend on the age of the child in care, the type of care arrangement (centre-based, family care, preschool) and the hours of care (full/part time).

⁴

Source: Data on child care participation is taken from the National Longitudinal Survey of Children and Youth, 2004-05. The NLSCY is a long-term study of children in Canada that collects information on a wide range of factors influencing the social, emotional and behavioural development of children from birth to early adulthood. The survey, which began in 1994, is jointly conducted by Statistics Canada and Human Resources and Social Development Canada.

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Full-time childcare

Monthly Parent Fees (in CAD) by Province/Territory and Age of Child⁵

Province/Territory	Centre-Based ⁶ (F/T)		
	Infant (1-17 mos)	Toddler (18 mos-2 yrs and 11 mos)	Preschool (3-5 yrs and 11 mos)
Newfoundland and Labrador* (2003/2004)	975	455	455
Prince Edward Island*	642	470	428
Nova Scotia*	584	526	516
New Brunswick**	547	540	467
Quebec (CAD 7/day)	151	151	151
Ontario*(1998)	783	603	541
Manitoba***	560	376	376
Saskatchewan**	497	455	420
Alberta** (2004)	600	532	532
British Columbia*	750	680	550
Yukon*	620	550	520
Northwest Territories* (2001)	600	600	600
Nunavut*	580	566	566

* Median fees

** Mean fees

*** Maximum fees

Part-time childcare

Parent fees are not legislated; care providers have the flexibility to individually determine parent fees. Individual jurisdictions legislate maximum subsidy amounts, based on age of child, type of care setting, and duration of care (full/part time). For some parents, their annual income will impact the subsidy amount for which they are eligible.

Individual provincial/territorial policies on fees for parents who are on social assistance vary considerably across the country. In Ontario, the provincial government provides funding for child care services for persons receiving Ontario Works benefits (social assistance). This funding supports fee subsidies which provide financial assistance towards the full cost of licensed child care for parents.

7.2 Child care benefits

Federal Level

In July 2006, the federal government introduced the Universal Child Care Benefit, a direct payment of CAD 100 per month to all Canadian families regardless of income for each child under the age

⁵ Source: Jane Beach and Martha Friendly, *Early Childhood Education and Care in Canada 2006*, Childcare Resource and Research Unit, University of Toronto.

⁶ Data represent 2005/2006, except where noted.

of six, to help offset the cost of whatever child care arrangement they choose. The benefit is payable to the child's primary caregiver and is taxable in the hands of the spouse with the lower income. As of 2010 single parents are allowed to choose to include UCCB payments in their own income, or in the income of the dependant for whom an Eligible Dependant Credit is claimed, thereby providing treatment comparable to single-earner two-parent families. The UCCB is not considered income for the purposes of calculating federal income-tested benefits such as the Canada Child Tax Benefit and the Goods and Services Tax Credit.

In addition, the federal personal income tax system provides a child care expenses deduction for families with children. The child care expenses deduction is calculated on the basis of earned income. Child care expenses claimed as a deduction cannot exceed two thirds (2/3) of the earnings of the spouse with the lower earned income (see section 10.1.1 for more information). The deduction reduces taxes paid to both levels of government (federal and provincial/territorial).

Childcare benefits are not dependent on the recipient using formal childcare facilities (for example state ran childcare).

Provincial Level

The province of Ontario announced the creation of the Ontario Child Benefit (OCB) in its 2007 Budget. This measure is replacing the Ontario Child Care Supplement for Working Families (OCCS). For each child under eighteen, qualifying families can receive up to CAD 1 100 from the OCB. The benefit is withdrawn at a rate of 8 per cent of family income that exceeds CAD 20 000

At the provincial/territorial level, child care benefits vary across jurisdictions. In Ontario, the province provides the Ontario Child Care Supplement for Working Families (OCCS)⁷, a tax-free monthly payment to help with the costs of raising children under the age of seven. The program benefits low-to-middle income single- or two-parent families, families with one stay-at-home parent, or families with one or both parents studying or in training.

7.2.1 Conditions for receipt

To be eligible to receive the Ontario Child Care Supplement for Working Families, a parent in Ontario has to:

- be a resident of Ontario;
- receive the (federal) Canada Child Tax Benefit;
- not receiving fully subsidized day care;
- have a child under age seven; and
- have the appropriate income level, or qualifying child care expenses.

Families are eligible for the Supplement if they had work earnings exceeding CAD 5 000. For families with incomes above CAD 20 000, the supplement is reduced. OCCS benefits are calculated on the same income basis as the CCTB described above.

7.2.2 Calculation of benefit amount

In 2012, the OCCS program provided a maximum annual benefit of CAD 1 100 for each child under age 7 in a two-parent family, and a maximum annual benefit of CAD 1 310 per child under age 7 in

⁷

Starting July 2008, the OCCS is being integrated into the OCB.

a lone-parent family. Starting in 2008, the monthly payment was reduced or, depending on family income, eliminated by the amount of Ontario Child Benefit received. If a family's OCCS entitlement is larger than their OCB payment, the family would still receive the extra OCCS benefit. This guarantees that all OCCS recipients would be at least as well off under the new system as they were before. Once the OCB is fully implemented in July 2011, the OCCS would be phased out over seven years.

Ontario Child Care Supplement for Working Families (OCCS)

	2012 (annual basis)
The benefit is calculated as the greater of:	
a) Per cent of earnings ⁸ in excess of CAD 5 000	
- when 1 child <7 is present	21%
- when 2 children <7 are present	42%
- when 3 or more children <7 are present	63%
And	
b) 50 per cent of the qualifying child care expenses*	
Maximum per child <7 in a two-parent family	CAD 1 100
Maximum per child <7 in a lone-parent family	CAD 1 310
Level of family net income ⁹ for tax purposes where benefit starts to be reduced	CAD 20 000
Reduction rate	8%

* For families with earnings up to CAD 5 000, the annual supplement is equal to 50 per cent of qualifying child care expenses claimed on the previous year's income tax return.

7.2.2.1 Calculation of gross benefit

See table above.

7.2.2.2 Income and earnings disregards

See table above.

7.2.3 Tax treatment of benefit and interaction with other benefits

7.2.4 Treatment of particular groups

N/A

⁸ Family earned income includes income from employment, self-employment, training allowances, the taxable portion of scholarships, net research grants and disability payments received under the Canada and Quebec Pension Plans. Family earned income is used to calculate the amount of the Supplement.

⁹ Family net income is used to ensure that benefits go to low- and middle-income families by reducing the amount of the Supplement for families with incomes above CAD 20 000. Family net income is usually the total net income of a single-parent family or of each spouse or common-law partner in a two-parent family.

8. Employment-conditional benefits

In 2007 the Government of Canada introduced an earned-income supplement, the Working Income Tax Benefit (WITB), to help make work pay for low- and modest-income Canadians. A number of provinces and territories have programs which provide earned-income supplements. These include: The New Brunswick Working Income Supplement, the Quebec Work Premium, the Manitoba Child Related Income Support Program, the Saskatchewan Employment Supplement, the Alberta Family Employment Tax Credit, the British Columbia Earned Income Benefit, the Northwest Territories Territorial Workers' Supplement and the Nunavut Territorial Workers' Supplement. In addition, all Canadian provinces offer special work-related supports to social assistance clients who are joining or rejoining the labour force. These range from coverage for special work-related expenses such as clothing, transportation and, in some jurisdictions, day care, to an actual bonus for participation in work activities. In Ontario, for example, an Other Employment and Employment Assistance Activities Benefit of up to CAD 253 once in every 12-month period for actual reasonable expenses is available for a social assistance beneficiary (and a spouse or same-sex partner) who begins employment or a training program, changes employment or begins an employment assistance activity.

8.1 Conditions for receipt

8.2 Calculation of benefit amount

8.2.1 Calculation of gross benefit

The Working Income Tax Benefit (WITB) is a refundable tax credit, which provides up to CAD 970 for single individuals and CAD 1 762 for couples and families with children in 2012. The benefit is phased in at a rate of 25% on working income greater than CAD 3 000.

For single individuals without children, the maximum benefit is paid if working income is between CAD 6 880 and CAD 11 011 in 2012. For single individuals, the WITB is reduced at 15% on net income greater than CAD 11 011. No WITB is paid when net income exceeds CAD 17 478.

For families, the maximum benefit is paid if working income is between CAD 10 048 and CAD 15 205 in 2012. For families, the WITB is reduced at 15% on net income greater than CAD 15 205. No WITB is paid when family net income exceeds CAD 26 952.

8.3 Tax treatment of benefit and interaction with other benefits

Working Income Tax Benefit payments are not taxable.

8.4 Benefit duration

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

8.5 *Treatment of particular group*

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Persons with Disabilities*

The WITB includes a supplement of up to CAD 485 for persons with disabilities in 2012.

9. Lone-parent benefits

The personal income tax system provides an eligible dependant amount for single, divorced, separated, or widowed taxfilers who support a dependant. Lone parents, therefore, can reduce their tax liabilities when claiming this amount for a dependent child (see section 10).

The refundable Goods and Services Tax (GST) Credit (see section 10 for details) also contains specific provisions for lone parents. In addition to an adult credit of up to CAD 253 (260)¹⁰ that lone parents can claim for themselves, they can also claim this amount for the dependent child claimed as an eligible dependant. There is also a GST credit supplement of up to CAD 133 (137) for low-income single parents (as well as single individuals).

The Canadian federal and provincial/territorial governments do not provide support to lone parents in cases where the absent parents do not pay any child support/alimonies.

In Canada, jurisdictions have flexibility regarding their treatment of support payments for social assistance benefits. Consequently, there are slight variations across jurisdictions, and for the purpose of this exercise, Ontario is used as a provincial/territorial example for social assistance.

According to Ontario legislation, income child support and alimony payments from the absent parent are fully taken into account in the calculation of the lone parent's entitlement to social assistance. In other words, social assistance benefits are reduced dollar-for-dollar with the receipt of child support/alimony payments. This has not changed since 2001.

In addition, it should be noted that Child support payments may or may not be deductible from federal income tax. As of May 1, 1997, the federal government changed the income tax rules which apply to child support agreements. Hence, there are two general rules:

- i) Child support paid under a child support agreement dated before May 1, 1997 is tax deductible, so the parent who pays child support will be able to continue to deduct those payments for income tax purposes, and the parent who receives the child support will continue to pay income tax on child support payments.
- ii) Child support paid under a child support agreement dated on or after May 1, 1997 is not deductible nor is it considered as income for tax purposes if you receive it.

While this change to the federal tax treatment of child support payments did not have any impact related to means-tested benefits such as social assistance, it did have a direct effect on the amount of federal income-tested benefits received, such as CCTB and GST credit.

9.1 Conditions for receipt

9.2 Calculation of benefit amount

¹⁰

The first numbers show the rates in effect during the period January to June 2012 (also in effect from July to December 2011). Amounts in parentheses are those in effect during the period July to December 2012.

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

9.2.1 *Calculation of gross benefit*

9.2.1.1 *Irregular additional payments*

9.2.2 *Income and earnings disregards*

9.3 *Tax treatment of benefit and interaction with other benefits*

9.4 *Benefit duration*

9.5 *Treatment of particular group*

9.5.1 *Young persons*

9.5.2 *Older workers*

9.5.3 *Others if applicable*

10. Tax system

The federal personal income tax system considers personal income in two ways: it taxes personal income on an individual basis (i.e. individuals pay income tax on their own income); whereas it pays benefits to people based on family income (i.e. family benefits are calculated based on the income of both spouses).

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

10.1.1.2 Standard tax credits

- *Basic personal amount:* All taxpayers qualify for a basic personal tax credit of CAD 1 623.30.
- *Credit for Spouse or Eligible Dependant:* A taxpayer supporting a spouse or other eligible dependant receives a tax credit of CAD 1 623.30 which is reduced by 15 cents for each dollar of the dependant's income.
- *Child Tax Credit:* A tax credit that provides up to CAD 328.65 of tax relief for each dependent child under the age of 18. The credit can be claimed by either parent.
- *The Goods and Services Tax Credit* provides a relief of CAD265 for each adult 19 years of age or older and CAD 139 for each dependent child under the age of 19. Single tax filers without children and with an employment income higher than CAD 8608 receive an additional CAD 139 that is phased in at a rate of 2 per cent. Single tax filers with children receive an additional CAD 139 that is not subject to phase-in. The credit received for the first dependent child of a single parent is also increased from CAD 139 to CAD 265. The total amount is reduced at a rate of five percent of net family income over CAD 34 561. The amount is paid directly to families.¹¹
- *Social security contributions:* taxpayers are entitled to claim 15 per cent of their contributions to the Canada or Quebec Pension Plans (to a maximum of CAD 2 306.70 for the Canada Pension Plan and to a maximum of CAD 2 341.65 for the Quebec Pension Plan) and their Employment Insurance premiums (to a maximum of CAD 839.97).
- *Working Income Tax Benefit (WITB)* The WITB provides a non-wastable tax credit equal to 25 percent of each dollar of earned income in excess of CAD 3 000 to a maximum credit of CAD 970 for single individuals without dependents and CAD 1 762 for families (couples and single parents). The credit will be reduced by 15 per cent of net family income in excess of CAD 11 011 for single individuals and CAD 15 205 for families. This is the default national design; provinces may choose to propose jurisdiction-specific changes to this design, subject to certain principles.
- *Canada Employment Tax Credit:* A tax credit of up to CAD 164.25 on employment income.
- *Child care expenses:* A portion of child care expenses is deductible if incurred for the purpose of earning business or employment income, studying or taking an occupational training course or carrying on research for which a grant is received. The lower-income spouse must generally claim the deduction. The amount of the deduction is limited to the least of:
 1. the expenses incurred for the care of a child;
 2. two-thirds of the taxpayer's earned income; and

¹¹ The payments that relate to the 2012 tax year are payable between July 2013 and June 2014.

3. CAD 7 000 for each child who is under age seven, and CAD 4 000 per child between seven and sixteen years of age. The amount for a disabled child under seventeen is CAD 10 000.

10.1.2 Income tax schedule (central government income tax)

2010 Federal Income Tax Rates

Taxable Income (CAD)	Rate (%)
0 – 42 707	15
42 707 – 85 414	22
85 414 – 132 406	26
132 406 and over	29

10.1.3 State and local income taxes

All provinces and territories levy their own personal income taxes. All, with the exception of Quebec, have a tax collection agreement with the federal government, and thus use the federal definition of taxable income. They are free to determine their own tax brackets, rates and credits. Quebec collects its own personal income tax and is free to determine all of the tax parameters, including taxable income. In practice, its definition of taxable income is similar to the federal definition.

Tax regime selected for this study

The calculation of provincial tax for the average worker study assumes the worker lives in Ontario, the most populous of the 10 provinces and 3 territories. The main features of the Ontario tax system relevant to this report are summarised below:

Tax Schedule

Income Bracket	Rate (%)
CAD 0 to CAD 39 020	5.05
CAD 39 020 to CAD 78 043	9.15
CAD 78 043 to CAD 500 000	11.16
Over CAD 500 000	12.16

Surtax

Provincial tax after accounting for wastable credits	Surtax Rate
Amounts Exceeding CAD 4 213	20% of the excess amount
Amounts Exceeding CAD 5 392	36% of the excess amount

Wastable tax credits

- A basic tax credit of CAD 474.95.
- A maximum credit of CAD 403.29 for a dependant spouse or eligible dependant that is withdrawn as the income of the spouse or eligible dependant exceeds CAD 798 and is completely withdrawn when the income of the spouse is at least CAD 8 783.94.
- 5.05 per cent of contributions made to the Canada Pension Plan and of Employment Insurance premiums.

Non-wastable tax credits

Ontario has a Sales Tax Credit that provides a relief of up to CAD 278 for each adult and each child. It is reduced by four per cent of adjusted family net income over CAD 21 410 for single people and over CAD 26 763 for families. The amount is paid directly to families.

Tax Reduction

An earner is entitled to claim a tax reduction where the initial entitlement is equal to CAD 217 plus CAD 401 for each dependent child under the age of 19. Where someone has a spouse, only the spouse with the higher net income can claim the dependent child tax reduction. If this amount is greater or equal to the liable provincial tax, then no tax is due. If the amount is less than the liable tax, then the actual tax reduction is equal to twice the initial entitlement amount less the liable tax (if this calculation is zero or negative, the reduction is equal to zero).

10.2 Treatment of family income

Under the present system, tax is levied on individuals separately; certain tax reliefs depend on family circumstances.

10.3 Social security contributions and payroll taxes

10.3.1 Contributions payable by employees and benefit recipients

Pensions

Generally, all employees are eligible for coverage under the Canada Pension Plan (Québec Pension Plan in the province of Québec). For 2012, all employees are required to contribute to the Canada Pension Plan at a rate of 4.95 per cent of income up to a maximum contribution of CAD 2 306.70 (the contribution rate is 5.025 per cent of income for the Québec Pension Plan up to a maximum contribution of CAD 2 341). Income subject to contributions is earnings (wages and salaries) less a CAD 3 500 basic exemption. The maximum contribution of CAD 2 306.70 is reached at an earnings level of CAD 50 100 i.e. $(\text{CAD } 50\,100 - \text{CAD } 3\,500) \times 0.0495 = \text{CAD } 2\,306.70$. For employees, each contribution to the CPP or QPP gives rise to a tax credit equal to 15 per cent of the contributed amount. Employers are also required to contribute to the Canada Pension Plan on behalf of their employees at the same rate and can deduct their contributions from taxable income (refer § 2.21).

Self-employed persons must also contribute to the Canada Pension Plan (Québec Pension Plan in the province of Québec) on their own behalf. However, the self-employed are required to contribute at the combined employer/employee rate of 9.90 per cent of earnings up to a maximum of CAD 4 613.40. The self-employed can deduct the employer portion of their contribution from income, equal to 50 per cent of the total contribution or CAD 2 306.70. The remaining 50 per cent, representing the employee portion, is then claimed as a tax credit at 15 per cent.

Sickness

There is no national sickness benefit plan administered by the federal government. However, all provinces have provincially-administered health care insurance plans. Three provinces, Quebec, Ontario, and British Columbia, levy health insurance premiums on individuals separately from the personal income tax to help finance their health programmes.

In the case of Ontario, the premium is determined based on taxable income. Individuals who earn up to CAD 20 000 are exempt. The premium is phased in with a number of different rates to a maximum of

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

CAD 900 for taxable income levels greater than CAD 200 600. The following table provides further details on the structure that is applicable in 2012.

Taxable Income	The Ontario Health Premium	
	Fixed Component (CAD)	Variable Component
0 to CAD 20 000	0	
CAD 20 000 to CAD 25 000	0	6% of the taxable income in excess of CAD 20 000
CAD 25 000 to CAD 36 000	300	
CAD 36 000 to CAD 38 500	300	6% of the taxable income in excess of CAD 36 000
CAD 38 500 to CAD 48 000	450	
CAD 48 000 to CAD 48 600	450	25% of the taxable income in excess of CAD 48 000
CAD 48 600 to CAD 72 000	600	
CAD 72 000 to CAD 72 600	600	25% of the amount of taxable income in excess of CAD 72 600
CAD 72 600 to CAD 200 000	750	
CAD 200 000 to CAD 200 600	750	25% of the amount of taxable income in excess of CAD 200 000
Over CAD 200 600	900	

Unemployment

In general, all employees are eligible for employment insurance. Eligibility to receive benefits is determined by insurable hours worked (with a minimum entry threshold of 420 hours). For 2012, employees are required to contribute at the rate of 1.83 per cent of insurable earnings. Insurable earnings are earnings (wages and salaries) up to a maximum of CAD 45 900 per year. The maximum employee contribution is therefore CAD 839.97 per year. Employment insurance contributions give rise to a tax credit equal to 15 per cent of the amount contributed. Employers are also required to contribute to the plan.

10.3.2 Contributions payable by employers

Employers are required to contribute to the Canada Pension Plan on behalf of their employees an amount equal to their employees' contributions. Thus, employers also contribute at the rate of 4.95 per cent of earnings (less the CAD 3 500 earnings exemption) to a maximum of CAD 2 306.70.

Sickness

There is no national sickness benefit plan administered by the federal government. However, all provinces have provincially-administered health care insurance plans. Three provinces levy a special tax on employer payrolls to finance health services (Québec and Ontario) or health services and education (Manitoba). These payroll taxes are deductible from the employer's income subject to tax. In the case of the province of Ontario, employers pay a 1.95 per cent Employer Health Tax on the value of their payroll that exceeds CAD 400 000.

Unemployment

Employers are required to contribute to the employment insurance scheme. The general employer contribution is 1.4 times the employee contribution, that is, 2.56 per cent of insurable earnings. Premiums are adjusted for employers who provide sick pay superior to payments provided under the employment insurance regime. All employment insurance contributions are deductible from the employer's income subject to tax.

Work injury

There is no national work injury benefit plan administered by the federal government. However, employers are required to contribute to a provincial workers' compensation plan which pays benefits to workers (or their families in case of death) for work-related illness or injury. The employer contribution

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

rates, which vary by industry and province, are related to industry experience of work-related illness and injury. Premiums are deductible from the employer's income subject to tax. In the case of Ontario, employers in the C to K industry sector pay, on average, 2.84 per cent of the wages paid to each employee to a maximum of CAD 81 700.

10.3.3 Payroll taxes

10.4 Treatment of particular group

10.4.1 Young persons

10.4.2 Older workers

10.4.3 Others if applicable

Reference date for all information is **July 1st 2012**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

11. Part-time work

No special provisions.

11.1 *Special benefit rules for part-time work*

11.2 *Special tax and social security contribution rules for part-time work*

12. Policy developments

12.1 Policy changes introduced during 2012

Ontario Trillium Benefit (OTB)

The province of Ontario introduced the Ontario Trillium Benefit (OTB) in July 2012. To better align the timing of assistance with the expenses that people face, the payments of three existing refundable tax credits (the Ontario Sales Tax Credit, Ontario Energy and Property Tax Credit and the Northern Ontario Energy Credit) have been combined into the OTB and delivered on a monthly basis.

Ontario Healthy Homes Renovation Tax Credit

The province of Ontario introduced the Healthy Homes Renovation Tax Credit to help with amounts paid or incurred for permanent home renovations to help make homes safer and more accessible. The credit can be claimed by seniors 65 years or older, whether they own their home or rent, and by individuals who share a home with a senior relative.

Eligible individuals would be able to claim a tax credit of 15% of qualifying expenditures paid by or on behalf of the individual during the taxation year. The annual maximum allowable expenditure is \$10,000. For the 2012 tax year only, the tax credit is determined with reference to qualifying expenditures made or incurred after September 30, 2011 and before January 1, 2013.

Further information: <http://www.ontario.ca/taxes-and-benefits/healthy-homes-renovation-tax-credit>

12.2 Future policy changes announced in 2012

Ontario Child Benefit

In the 2012 Budget, the province of Ontario proposes to increase the maximum annual OCB payment from \$1,100 to \$1,210 in July 2013. The maximum annual payment would be increased again in July 2014 to \$1,310.

Further information: http://www.fin.gov.on.ca/en/budget/ontariobudgets/2012/papers_all.pdf

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.